Table 14.1 Identification Guidelines

Characteristic	Discussion
Appearance	The formation looks like a frying pan with the handle on the left sloping downward to the pan. After a deepening decline that takes price into the pan base, price levels out and eventually soars out the right side.
Arithmetic scale	Use the arithmetic chart, not a semilogarithmic one.
Down-sloping top trendline, lead-in height	The handle forms a down-sloping trendline that approximates 0–45 degrees (but this varies with scaling). The handle portion of the formation is called the *lead-in* because it leads into the bump phase. The lead-in height measures from the trendline drawn across the highs to the low (not necessarily the lowest low) of the formation. Select the tallest distance from the trendline to the low, measured vertically, in the first quarter of the formation. The duration of the lead-in should be at least a month, but varies depending on the situation.
Bump phase	The bump is analogous to the frying pan base. The down-sloping trendline deepens to 60 degrees or more. Price drops rapidly, then levels out and reverses, usually forming a rounded turn. After the turn, price moves up and sometimes pauses at the 30-degree trendline before moving higher. The bump height, as measured from the trendline to the lowest low, should be at least twice the lead-in height. Strict adherence to this rule is not required, but it serves as a good guideline.
Dual bumps	Twelve percent of the time, a BARR bottom has a second cup (bump).
Uphill run	Once price lifts out of the bump phase, it begins an uphill run that carries the stock higher.
Volume	Volume is typically high during the three critical parts of the pattern: formation start, bump start, and upward breakout. However, high volume is not a prerequisite.